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Case Number: 25STCV19784 Hearing Date: July 15, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department
508

JESUS GUTIERREZ BECERRA,

Plaintiff,

vs.

GENERAL MOTORS, LLC,

Defendant.

Case No.:

25STCV19784

Hearing Date:

July 15, 2026

Hearing Time: 2:00 p.m.

[TENTATIVE]

ORDER RE:

DEFENDANT GENERAL MOTORS, LLC.'S DEMURRER TO THE FIFTH CAUSE OF ACTION OF PLAINTIFF'S FIRST AMENDED COMPLAINT

Background

On June 30, 2025, Plaintiff Jesus Gutierrez Becerra ("Plaintiff") filed this lemon law action against Defendant General Motors, LLC ("GM"). On December 29, 2025, Plaintiff filed a first amended complaint ("FAC") alleging five causes of action for (1) violation of subdivision (d) of Civil Code section 1793.2; (2) violation of subdivision (b) of Civil Code section 1793.2; (3) violation of subdivision (a)(3) of Civil Code section 1793.2; (4) breach of the implied warranty of merchantability; and (5) fraudulent inducement - concealment.

GM now demurs to the fifth cause of action of the FAC for fraudulent inducement - concealment. Plaintiff opposes. GM replied.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda¿(2007) 147 Cal.App.4th 740, 747.) In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those expressly pleaded, and judicially noticed matters. ((Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings alone and not the¿evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court¿(1984) 153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-10.)

Under Code of Civil Procedure section 430.10 subdivisions (e) and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist.

(1992) 2 Cal.4th 962, 967.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

GM demurs to Plaintiff's fifth cause of action for fraudulent inducement - concealment because the complaint fails to allege facts sufficient to state a cause of action. Specifically, GM asserts that the claim is barred by the economic loss rule.

A.
Allegations of the FAC

Plaintiff alleges that "[o]n or about January 3, 2022, Plaintiff entered into a warranty contract with Defendant GM regarding a 2022 GMC Sierra 1500, . . . which was manufactured and/or distributed by Defendant GM." (FAC, ¶ 6.) Plaintiff alleges that "[t]he warranty contract contained various warranties, including but not limited to the bumper-bumper warranty, powertrain warranty, emission warranty, etc." (FAC, ¶ 7.)

Plaintiff alleges that "[d]efects nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to transmission defects, engine defects, electrical defects; among other defects and non-conformities." (FAC, ¶ 18.) Plaintiff pleads that the defects rendered the vehicle "worthless and/or de minimis." (FAC, ¶ 20.) Thus, "GM had an affirmative duty to promptly offer to repurchase or replace the Subject Vehicle at the time if failed to conform the Subject Vehicle to the terms of the express warranty after a reasonable number of repair attempts," but "failed to either promptly replace the Subject Vehicle or to promptly make restitution." (FAC, ¶¶ 21-22.)

B. Economic Loss Rule

As a preliminary matter, GM appears to demur to the FAC on the grounds that Plaintiff's fifth cause of action for fraudulent inducement - concealment is barred by the economic loss rule. GM asserts that "assuming arguendo the existence of the warranty alone is sufficient to establish the requisite transactional relationship to trigger a duty to disclose, the fraud claim is barred by the economic loss rule under Rattagan as the claim cannot ‘be established independently of the parties’ contractual rights and obligations’ nor ‘exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.’” (Dem., 6:25-7:1.) However, GM does not include any further discussion of the economic loss rule in its papers.

The Court notes that the Rattagan v. Uber Technologies (2024) 17 Cal.5th 1, 20 (Rattagan) test does not apply here because Plaintiff alleges fraud in the inducement, not in performance of the contract. The Supreme Court in Rattagan stated that “Rattagan’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations.” (Rattagan, supra, 17 Cal.5th at p. 41, fn. 12 [emphasis in original].) Dhital v. Nissan North America (2022) 84 Cal.App.5th 828 (Dhital) is the more apposite precedent here because the case addressed the application of the economic loss rule to claims against vehicle manufacturers for fraudulent inducement by concealment. The Dhital Court expressly held that the economic loss rule does not bar such claims. (Id. at p. 843.) The Court of Appeal reasoned that “the plaintiffs’ fraudulent inducement claim alleges presale conduct by Nissan (concealment) that is distinct from Nissan’s alleged subsequent conduct in breaching its warranty obligations.” (Id. at p. 841.)

However, given GM’s failure to present a substantive discussion on this, the Court declines to discuss the merits of the economic loss rule any further. Accordingly, Plaintiff’s fraudulent inducement - concealment cause of action is not barred by the economic loss rule.

C. Failure to State a Cause of Action

GM demurs to the FAC on the grounds that Plaintiff’s fifth cause of action is insufficiently alleged because Plaintiff failed to plead fraud with the requisite specificity and does not establish a duty.

GM contends that Plaintiff fails to establish the existence of a duty to disclose, stating that “[e]ven if Plaintiff has pled their actual and justifiable reliance and factual content of GM’s omission, they fail to allege that GM had a legal duty to disclose those facts.” (Dem., 9:26-27.) GM asserts that because “Plaintiff does not allege any kind of fiduciary relationship with GM,” Plaintiff “must allege a direct transactional relationship with GM.” (Dem., 10:11-12.)

“There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 311 (Bigler-Engler).) When a fiduciary relationship does not exist, “only the latter three circumstances may apply;” however, those circumstances “‘presuppose[] the existence of [a] relationship between the plaintiff and defendant in which a duty to disclose can arise.” (Ibid.) In the absence of a fiduciary duty, “[a] duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.” (Ibid.)
“Although, typically, a duty to disclose arises when a defendant owes a fiduciary duty to a plaintiff [citation], a duty to disclose may also arise when a defendant possesses or exerts control over material facts not readily available to the plaintiff.” (Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1198, 1199.)

In the FAC, Plaintiff pleads that “GM acquired its knowledge of the Transmission Defect and its potential consequences prior to Plaintiff acquiring the subject vehicle, though sources not available to consumers such as Plaintiff, including but not limited to pre-production testing data, early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers, aggregate warranty data compiled from GM’s network of dealers, testing conducted by Defendant GM in response to these complaints, as well as warranty repair and part replacements data received by Defendant GM from Defendant GM’s network of dealers, amongst other sources of internal information.” (FAC, ¶ 57a.) Plaintiff also pleads that “GM was in a superior position from various internal sources to know (or should have known) the true state of facts about the material defects contained in vehicles equipped with the 8-speed transmission.” (FAC, ¶ 57b.) Plaintiff states that he “could not reasonably have been expected to learn of or discover the Vehicle’s Transmission Defect and its potential consequences until well after Plaintiff purchased the Vehicle.” (FAC, ¶ 57c.) Plaintiff pleads that GM had exclusive knowledge of non-public and internal facts, how and why GM had this knowledge, and that this occurred prior to the sale of Plaintiff’s vehicle. The Court finds that these statements sufficiently demonstrate that Plaintiff pleaded that GM “possesse[d] or exert[ed] control over material facts not readily available to” him, which demonstrates the existence of a duty. (Jones v. ConocoPhillips Co., supra, 198 Cal.App.4th at p. 1199.) However, a cause of action for fraud has a heightened pleading standard, and as GM contends, Plaintiff’s FAC “fails to plead specific facts to satisfy fraud’s heightened pleading standard.” (Dem., 6:10-11.)

“[T]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Marketing West, Inc. v. Sanyo Fisher (USA) Corp. (1992) 6 Cal.App.4th 603, 612-613.) Less specificity is required if it appears from the nature of allegations that the defendant must necessarily possess full information, or if the facts lie more in the knowledge of opposing parties.¿(Alfaro v. Community Housing Improvement System & Planning Assn., Inc.¿(2009) 171 Cal.App.4th 1356, 1384-1385 (Alfaro).)

As to specificity, GM first asserts that “Plaintiff’s fraudulent concealment claim fails to allege with particularity the defect GM allegedly concealed. The Complaint merely describes a list of ways in which the 2022 GMC Sierra 1500’s transmission may be defective.” (Dem., 9:7-9.) GM also asserts that “Plaintiff fails to identify by name who made the alleged omissions when they purchased the Subject Vehicle.” (Dem., 9:23-24.) Moreover, GM asserts that each element under the fraud cause of action lacks specificity.

In opposition, Plaintiff contends that they pled with the requisite specificity because when fraud occurs through non-disclosure, it is not practical to allege facts for something that did not happen. (Alfaro, supra, 171 Cal.App.4th at p. 1384 [“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?"].) Instead, such details, in the context of a fraudulent concealment claim, "are properly the subject of discovery, not demurrer." (Id., at pp. 1384-1385.) Specifically, Plaintiff contends that he "alleged (1) misrepresentation/concealment, (2) knowledge of falsity, (3) intent to induce reliance, (4) justifiable reliance, and (5) damages." (Opp., 3:25-27.) However, in the complaint, Plaintiff only includes general, boilerplate assertions.

Thus, GM's argument is persuasive because, although Plaintiff pleads general facts that fit the required elements for a fraud claim, they are not pled with the specificity that a fraud claim requires. Alfaro prescribes a lower standard for specificity, but Plaintiff must include some level of specificity, such as pleading what specific misrepresentations or omissions he relied on that induced his purchase. Accordingly, the demurrer is granted as to the fifth cause of action, with leave to amend.

Conclusion

Based on the foregoing, GM's demurrer to the fifth cause of action is SUSTAINED with leave to amend.

The Court orders Plaintiff to file and serve an amended complaint, if any, within 20 days of this Order. If no amended complaint is filed within 20 days of this Order, GM is ordered to file and serve its answer within 30 days of this Order.

GM is ordered to give notice of this Order.

DATED: July 15, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court